

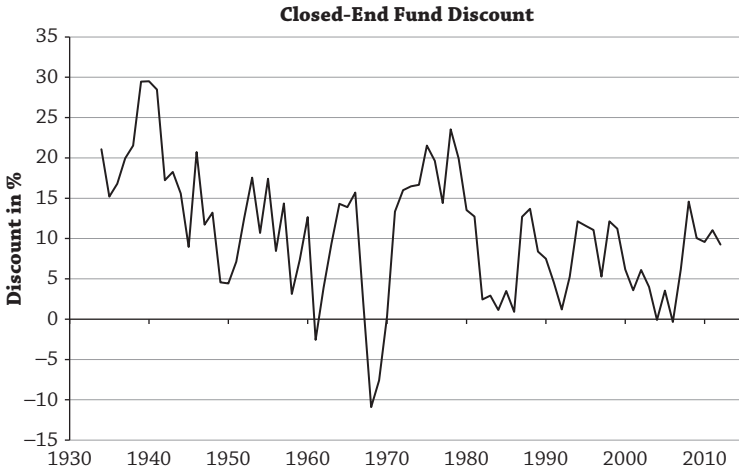


Figure 16.9

investor sentiment indices, like Baker and Wurgler (1997). Investor sentiment, however, does not explain simultaneous discounts and premiums of similar closed-end funds.

### 3. Agency costs

While the structure of closed-end funds offers advantages, such as the ability to harvest illiquidity premiums, there are also agency costs.<sup>52</sup> Managers charge fees, and when managers have no talent, there must be a discount as fees are paid out of the fund's earnings. Cherkes, Sagi, and Stanton (2009) show discounts or premiums arise as the trade-off between the benefit of transforming illiquid assets into liquid ones and managerial costs.

A number of *activist investors*, especially hedge funds, have tried to take advantage of the closed-end fund discount by *open-ending* closed-end funds.<sup>53</sup> Activists do this by buying enough shares to control the closed-end fund's board, and then dissolving the fund to collect the discount.

## 5. ETFs

There has been huge growth in both the number of ETFs and their AUM. ETFs are convenient because you can trade them instantaneously, they are cheap because they are designed for the most part to passively track indices, and there is a lot of

<sup>52</sup>This story is originally due to Boudreaux (1973). See also Ross (2005) and Berk and Stanton (2007).

<sup>53</sup>See Bradley et al. (2010).